Liberty Specialty Markets Bermuda Limited

Consolidated Financial Statements
For the year ended December 31, 2019

Liberty Specialty Markets Bermuda Limited

Table of Contents

Report of Independent Auditors 3

Financial Statements:

Consolidated Balance Sheets 5
Consolidated Statements of Operations and Comprehensive Income (Loss) 6
Consolidated Statements of Changes in Shareholder's Equity 7
Consolidated Statements of Cash Flows 8
Notes to Consolidated Financial Statements 10

Ernst & Young Ltd.
3 Bermudiana Road
Hamilton HM 08
P.O. Box HM 463
Hamilton HM BX
BERMUDA

Tel: +1 441 295 7000
Fax: +1 441 295 5193
ey.com

Report of Independent Auditors

The Board of Directors and Shareholder
Liberty Specialty Markets Bermuda Limited

We have audited the accompanying consolidated financial statements of Liberty Specialty Markets Bermuda Limited, which comprise the consolidated balance sheets as of December 31, 2019 and 2018, and the related consolidated statements of operations and comprehensive income (loss), changes in shareholder's equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in conformity with U.S. generally accepted accounting principles; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

A member firm of Ernst & Young Global Limited

Building a better working world

Opinion

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of Liberty Specialty Markets Bermuda Limited as of December 31, 2019 and 2018, and the consolidated results of their operations and their cash flows for the years then ended in conformity with U.S. generally accepted accounting principles.

Change in Accounting Principle

As discussed in Note 2 to the consolidated financial statements, the Company has elected to change its method of accounting for gross written premiums associated with mortgage credit risk transfer reinsurance contracts in 2019. Our opinion is not modified with respect to this matter.

Required Supplementary Information

Accounting principles generally accepted in the United States require that the incurred and paid claims development prior to the most recent year and the average annual percentage payout of incurred claims disclosed on pages 26 through 29 be presented to supplement the financial statements. Such information, although not a part of the financial statements, is required by the Financial Accounting Standards Board who considers it to be an essential part of financial reporting for placing the financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the financial statements, and other knowledge we obtained during our audit of the financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Ernst + Young Ltd.

April 30, 2020

A member firm of Ernst & Young Global Limited

Liberty Specialty Markets Bermuda Limited
Consolidated Balance Sheets
As of December 31, 2019 and 2018
(Expressed in thousands of U.S. dollars, except share data)

	December 31, 2019	December 31, 2018
ASSETS		
Fixed maturity securities available for sale, at fair value (amortized cost: 2019 - $1,894,893, 2018 - $1,753,226)	$1,931,626	$1,727,269
Short term investments, at fair value	4,067	-
Other investments	31,089	65,228
Total investments	1,966,782	1,792,497
Cash and cash equivalents	204,629	135,680
Accrued investment income	9,953	10,753
Premiums receivable	884,558	1,143,406
Reinsurance recoverable on unpaid losses	573,333	567,782
Reinsurance recoverable on paid losses	59,733	59,864
Deferred acquisition costs	125,227	126,386
Prepaid reinsurance premiums	68,709	106,027
Receivable for securities sold	6,252	1,772
Net deferred tax asset	212,548	246,617
Amounts receivable from related parties	69,012	55,102
Other assets	2,508	26,968
Total assets	$4,183,244	$4,272,854
LIABILITIES		
Reserve for losses and loss adjustment expenses	$1,258,816	$1,313,554
Unearned premiums	487,989	570,834
Insurance and reinsurance balances payable	61,845	87,484
Payable for securities purchased	106,271	33,947
Amounts payable to related parties	3,899	2,847
Other liabilities	415,723	537,236
Total liabilities	2,334,543	2,545,902
SHAREHOLDER'S EQUITY		
Common shares, 2,000,000 authorized, $1.00 par value, issued and outstanding (2019: 1,000,000; 2018: 1,000,000)	1,000	1,000
Additional paid-in capital	1,541,489	1,541,489
Accumulated other comprehensive loss	30,163	(27,193)
Retained earnings	276,049	211,656
Total shareholder's equity	1,848,701	1,726,952
TOTAL LIABILITIES AND SHAREHOLDER'S EQUITY	$4,183,244	$4,272,854

See accompanying notes to the consolidated financial statements

Liberty Specialty Markets Bermuda Limited
Consolidated Statements of Operations and Comprehensive Income (Loss)
For the years ended December 31, 2019 and 2018
(Expressed in thousands of U.S. dollars, except share data)

	December 31, 2019	December 31, 2018
REVENUES		
Gross premiums written	$612,828	$914,049
Reinsurance premiums ceded	(114,121)	(181,228)
Net premiums written	498,707	732,821
Change in unearned premiums	36,394	(78,676)
Net premiums earned	535,101	654,145
Net investment income	61,514	56,841
Net realized and unrealized gains (losses) on investments	13,714	(10,349)
Net foreign exchange gains (losses)	(5,253)	1,722
Other income	412	125
Total revenues	605,488	702,484
EXPENSES		
Net losses and loss adjustment expenses	322,121	460,917
Acquisition expenses	159,168	177,758
General and administrative expenses	39,245	77,626
Total expenses	520,534	716,301
Income (loss) from continuing operations before tax benefit (expense)	84,954	(13,817)
Income tax expense	(20,561)	(12,417)
Income (loss) from continuing operations, net of income tax	64,393	(26,234)
Income from discontinued operations, net of income tax	-	32,432
Net income	$64,393	$6,198
COMPREHENSIVE INCOME (LOSS)		
Net income	$64,393	$6,198
Other comprehensive income (loss), before tax		
Change in net unrealized gains (losses) on investments	72,029	(33,633)
Income tax (expense) benefit on other comprehensive income	(14,673)	6,637
Other comprehensive income (loss), net of tax	57,356	(26,996)
Comprehensive income (loss)	$121,749	$(20,798)

See accompanying notes to the consolidated financial statements

Liberty Specialty Markets Bermuda Limited
Consolidated Statements of Changes in Shareholder's Equity
For the years ended December 31, 2019 and 2018
(Expressed in thousands of U.S. dollars, except share data)

	December 31, 2019	December 31, 2018
COMMON SHARES	$1,000	$1,000
ADDITIONAL PAID-IN CAPITAL		
Balance as of beginning of year	1,541,489	1,236,910
Capital contribution	-	304,579
Balance as of end of year	1,541,489	1,541,489
ACCUMULATED OTHER COMPREHENSIVE INCOME (LOSS)		
Balance as of beginning of year	(27,193)	(2,808)
Cumulative effect of adoption of ASU 2018-02 at January 1, 2018	-	(1,382)
Comprehensive income (loss), net of income tax of $(14,673) and $6,637	57,356	(26,996)
Distribution of Ironshore Holdings (U.S.) Inc.	-	3,993
Balance as of end of year	30,163	(27,193)
RETAINED EARNINGS		
Balance as of beginning of year	211,656	354,477
Cumulative effect of adoption of ASU 2018-02 at January 1, 2018	-	1,382
Net income	64,393	6,198
Distribution of Ironshore Holdings (U.S.) Inc.	-	(150,401)
Balance as of end of year	276,049	211,656
TOTAL SHAREHOLDER'S EQUITY	$1,848,701	$1,726,952

See accompanying notes to the consolidated financial statements

Liberty Specialty Markets Bermuda Limited
Consolidated Statements of Cash Flows
For the years ended December 31, 2019 and 2018
(Expressed in thousands of U.S. dollars, except share data)

	December 31, 2019	December 31, 2018
CASH FLOWS PROVIDED BY OPERATING ACTIVITIES:		
Net income	$64,393	$6,198
ADJUSTMENTS TO RECONCILE NET INCOME TO NET CASH PROVIDED BY OPERATING ACTIVITIES:		
Amortization and depreciation	470	4,199
Amortization of fixed maturity securities	4,398	7,244
Net realized and unrealized gains on investments	13,714	12,999
Deferred tax expense	19,396	22,022
CHANGES IN OPERATIONAL ASSETS AND LIABILITIES:		
Premiums receivable	257,985	(396,887)
Reinsurance recoverable on unpaid losses	(5,631)	(78,512)
Reinsurance recoverable on paid losses	131	(112,175)
Deferred acquisition costs	1,159	(31,741)
Prepaid reinsurance premiums	37,318	(60,459)
Amounts receivable from related parties	(13,910)	3,728
Other assets	24,031	134,444
Reserve for losses and loss adjustment expenses	(54,207)	202,688
Unearned premiums	(82,845)	162,791
Insurance and reinsurance balances payable	(25,639)	(38,936)
Amounts payable to related parties	1,052	(40,396)
Other liabilities	(119,508)	257,524
Pooling (Note 3)	-	29,879
Net cash provided by operating activities	122,307	84,610
CASH FLOWS USED IN INVESTING ACTIVITIES:		
Accrued investment income	800	(2,688)
Purchases of fixed maturity securities available for sale	(2,041,014)	(1,841,667)
Purchases of short term investments	(33,791)	-
Purchases of other investments	(6,272)	(17,652)
Proceeds from sales and maturity of fixed maturity securities available for sale	1,963,787	1,672,115
Proceeds from sales of short term investments	30,050	32,928
Proceeds from sales of equity securities available for sale	-	676
Proceeds from sales of other investments	38,684	33,908
Purchases of fixed assets	-	(248)
Net cash used in investing activities	(47,756)	(122,628)

See accompanying notes to the consolidated financial statements

Liberty Specialty Markets Bermuda Limited
Consolidated Statements of Cash Flows
For the years ended December 31, 2019 and 2018
(Expressed in thousands of U.S. dollars, except share data)

CASH FLOWS USED IN FINANCING ACTIVITIES:		
Distribution of Ironshore Holdings (U.S.) Inc.	-	(75,963)
Net cash used in financing activities	-	(75,963)
Net increase (decrease) in cash and cash equivalents	74,551	(113,980)
Cash and cash equivalents as of beginning of year	135,680	251,871
Effect of exchange rates on cash and cash equivalents	(5,602)	(2,211)
CASH AND CASH EQUIVALENTS AS OF END OF YEAR	$204,629	$135,680
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION:		
Income taxes refunds received, net	$(1,798)	$(73,374)
Interest paid	$ -	$5,567

See accompanying notes to the consolidated financial statements

1. Nature of the business

Liberty Specialty Markets Bermuda Limited ("LSM Bermuda") was incorporated under the laws of Bermuda on October 19, 2006. LSM Bermuda, together with its subsidiaries (collectively referred to as the "Company"), began underwriting activities in 2007. The Company is a wholly owned subsidiary of Ironshore Inc. ("Ironshore"), a company that was incorporated under the laws of the Cayman Islands on September 26, 2006. On May 1, 2015, Ironshore entered into a definitive merger agreement with Fosun International Limited ("Fosun"), and on November 20, 2015, the merger was completed and Ironshore became a wholly-owned indirect subsidiary of Fosun. On December 5, 2016, Ironshore, Fosun and its subsidiaries, Mettlesome Investment Limited ("Mettlesome HK") and Mettlesome Investments (Cayman) III Limited ("Mettlesome CI"), and Liberty Mutual Group Inc. ("Liberty Mutual") entered into a stock purchase agreement pursuant to which Mettlesome HK and Mettlesome CI agreed to sell to Liberty Mutual all of the issued and outstanding ordinary shares of Ironshore on the terms and conditions specified in the agreement. On May 1, 2017, Liberty Mutual completed the acquisition of Ironshore for approximately $2,926,000.

LSM Bermuda is registered as a Class 4 insurer under The Insurance Act 1978 in Bermuda, related regulations and amendments thereto (the "Bermuda Insurance Act"). LSM Bermuda includes Liberty Specialty Markets Bermuda Limited, Singapore Branch, which is registered as a direct insurer to carry on general insurance in Singapore effective January 26, 2012, and Ironshore Insurance Ltd., Canada Branch, which writes property and casualty insurance for Canadian-domiciled risks effective March 29, 2014.

The Company's U.S. business consisted of Ironshore Holdings (U.S.) Inc. ("Ironshore Holdings U.S."), a Delaware corporation, and its principal subsidiaries Ironshore Indemnity Inc., ("Ironshore Indemnity"), a Minnesota domiciled insurer, and Ironshore Specialty Insurance Company ("Ironshore Specialty"), an Arizona domiciled insurer (collectively referred to as the "U.S. companies"). The U.S. companies serve the property and specialty casualty insurance market sectors. The U.S. companies also insure all classes of aviation and aerospace risks worldwide through an agreement with Starr Aviation Agency, Inc.

On December 31, 2018, the Company distributed Ironshore Holdings U.S. and its principal subsidiaries to Liberty Mutual Insurance Company ("LMIC") by issuing a dividend. The results of Ironshore Holdings U.S. and its principal subsidiaries are reflected in LSM Bermuda's consolidated financial results as discontinued operations and, therefore, presented as income (loss) from discontinued operations on the consolidated statements of operations for the year ended December 31, 2018. Refer to Note 3 for additional information regarding discontinued operations.

2. Significant accounting policies

Basis of presentation

The accompanying consolidated financial statements include the accounts of LSM Bermuda and entities over which the Company exercises control including majority and wholly owned subsidiaries. All material intercompany transactions and balances have been eliminated. Certain prior year amounts have been reclassified to conform to the current year presentation.

The accompanying consolidated financial statements have been prepared in conformity with U.S. generally accepted accounting principles ("GAAP"). The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. The Company's principal estimates include (1) reserve for losses and loss adjustment expenses, (2) reinsurance recoverables, (3) fair value determination and other-than-temporary impairments of the investment portfolio, (4) recoverability of deferred acquisition costs, and (5) deferred income tax valuation allowance. While the amounts included in the consolidated financial statements reflect management's best estimates and assumptions, these amounts ultimately could vary.

Adoption of New Accounting Standards

For the year ended December 31, 2019, the Company adopted the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2016-16, *Income Taxes (Topic 740): Intra-Entity Transfers of Assets Other Than Inventory* ("ASU 2016-16") on a modified retrospective basis. The standard requires an entity to recognize the income tax consequences of an intra-entity transfer of an asset other than inventory when the transfer occurs, rather than when the asset is sold to a third party. The adoption of this standard did not have an impact to the Company's financial statements.

Effective January 1, 2019, the Company adopted the FASB issued ASU 2014-09, *Revenue from Contracts with Customers* ("ASU 2014-09"). ASU 2014-09 was issued to clarify the principles for recognizing revenue, however, insurance contracts and financial instrument transactions are not within the scope of this guidance. The Company adopted ASU 2014-09 on a modified retrospective basis. The adoption of this standard did not have an impact to the Company's financial statements.

Effective January 1, 2019, the Company adopted the FASB issued ASU 2016-01, *Financial Instruments—Overall (Subtopic 825-10): Recognition and Measurement of Financial Assets and Financial Liabilities* ("ASU 2016-01"). ASU 2016-01 eliminates the available-for-sale balance sheet classification for equity securities and changes in unrealized gains and losses on equity securities are recognized in the statements of income (excluding those accounted for under the equity method or those that result in consolidation). The adoption of this standard did not have an impact to the Company's financial statements.

Future Adoption of New Accounting Standards

The Company will adopt the FASB issued ASU 2016-02, *Leases* ("ASU 2016-02"). The amendments will require a lessee to recognize a right-of-use asset and a lease liability on the balance sheet for leases with terms longer than 12 months. Leases will be classified as either finance or operating, with classification affecting the pattern of expense recognition in the statements of income. The amendments of ASU 2016-02 are effective for nonpublic business entities for fiscal years beginning after December 15, 2019, including interim periods within those fiscal years beginning after December 15, 2019. The Company is currently evaluating the impact of the adoption of ASU 2016-02. The adoption is expected to have no material impact on the Company's financial statements.

The Company will adopt the FASB issued ASU 2016-13, *Financial Instruments – Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments* ("ASU 2016-13"). ASU 2016-13 replaces the current incurred loss model with an expected credit loss model, which measures credit losses on financial instruments measured at amortized cost, and will require companies to recognize an allowance for expected credit losses. In addition, ASU 2016-13 also amends the credit loss measurement guidance for available-for-sale debt securities and beneficial interests in securitized financial assets. This amendment removes certain factors to consider when determining whether credit losses should be recognized and will require companies to recognize expected credit losses through an allowance. ASU 2016-13 is effective for nonpublic business entities for fiscal years, and interim periods within those fiscal years, beginning after December 15, 2022. The Company is currently evaluating the impact of the adoption of ASU 2016-13.

There are no other accounting standards not yet adopted by the Company that are expected to have a material impact on the consolidated financial statements.

Change in Accounting Principle

Effective January 1, 2019, the Company changed the method of recognizing gross premiums written for mortgage reinsurance policies from monthly to recognizing gross premiums written up front when the risk attaches. This change in accounting principle was applied retrospectively and does not affect net income for the year or retained earnings. The Company believes this recognition of the gross premiums written for mortgage reinsurance policies is preferable as it better aligns the Company's policy with its parent, Liberty Mutual.

	December 31, 2018		
	As Reported	**Change**	**As adjusted**
Gross premiums written	$891,877	$22,172	$914,049
Change in unearned premiums	(56,504)	(22,172)	(78,676)
Premiums receivable	1,104,033	39,373	1,143,406
Deferred acquisition costs	119,931	6,455	126,386
Unearned premium	525,006	45,828	570,834

Investments

Fixed maturity securities classified as available for sale are debt securities that have principal payment schedules, are held for indefinite periods of time, and are used as a part of the Company's capital strategy or sold in response to risk and reward characteristics, liquidity needs or similar economic factors. These securities are reported at fair value with changes in fair values, net of deferred income taxes, reported in accumulated other comprehensive income.

Equity securities classified as available for sale include common equities and non-redeemable preferred stocks and are reported at quoted fair values. Changes in fair values, net of deferred income taxes, are reported in accumulated other comprehensive income.

Realized gains and losses on sales of investments are recognized in income using the specific identification method. The Company reviews fixed maturity securities, equity securities, and other investments for impairment on a quarterly basis. Securities are reviewed for both quantitative and qualitative considerations including, but not limited to, (1) the extent of the decline in fair value below book value, (2) the duration of the decline, (3) significant adverse changes in the financial condition or near term prospects for the investment or issuer, (4) significant changes in the business climate or credit ratings of the issuer, (5) general market conditions and volatility, (6) industry factors, (7) the past impairment of the security holding or the issuer, and (8) changes in foreign exchange.

For fixed maturity securities that the Company does not intend to sell or for which it is more likely than not that the Company would not be required to sell before an anticipated recovery in value, the Company separates impairments into credit loss and non-credit loss components. The determination of the credit loss component of the impairment charge is based on the Company's best estimate of the present value of the cash flows expected to be collected from the fixed maturity security compared to its amortized cost and is reported as part of net realized gains. The non-credit component, the residual difference between the credit impairment component and the fair value, is recognized in other comprehensive income. The factors considered in making an evaluation of credit versus non-credit other-than-temporary impairments include: (1) failure of the issuer of the security to make scheduled interest or principal payments (including the payment structure of the fixed maturity security and the likelihood the issuer will be able to make payments that increase in the future), (2) performance indicators of the underlying assets in the security (including default and delinquency rates), (3) vintage, (4) geographic concentration, (5) impact of foreign exchange rates on foreign currency denominated securities, and (6) industry analyst reports, sector credit ratings and volatility of the security's fair value.

For equity securities the Company does not have the intent and ability to hold to recovery, and for fixed maturity securities the Company intends to sell or for which it is more likely than not that the Company will be required to sell before an anticipated recovery in value, the full amount (fair value less amortized cost) of the impairment is included in net realized gains (losses).

Upon recognizing an other-than-temporary impairment, the new cost basis of the investment is the previous amortized cost basis less the other-than-temporary impairment ("OTTI") recognized in net realized gains/losses. The new cost basis is not adjusted for any subsequent recoveries in fair value; however, for fixed maturity securities the difference between the new cost basis and the expected cash flows is accreted to net investment income over the remaining expected life of the investment.

Cash equivalents are short-term, highly liquid investments that are both readily convertible into known amounts of cash and so near to maturity that they present insignificant risk of changes in value due to changing interest rates. The Company's cash equivalents include debt securities purchased with maturities of three months or less at acquisition and are carried at amortized cost, which approximates fair value.

Short-term investments are debt securities with maturities at acquisition between three months and one year, are considered available for sale, and are reported at fair value with changes in fair values, net of deferred income taxes, reported in accumulated other comprehensive income.

Other investments include investments in closed-end limited partnerships that invest primarily in commercial real estate debt in North America and Europe. It also includes investment in a Cayman-island registered partnership fund that primarily invests in portfolio companies in China, Hong Kong, Macau and/or Taiwan. Investments in closed-end limited partnerships and Cayman-island registered fund are carried at fair value, with related unrealized gains and losses recorded in net realized and unrealized gains (losses) on investments included in the statement of operations and comprehensive income.

Net investment income primarily consists of interest, dividends, and income from limited partnerships. Interest income is recognized on an accrual basis using the effective interest method and dividend income is recognized at the ex-dividend date. Interest income for mortgage-backed fixed maturity securities is recognized using a constant effective yield based on anticipated prepayments over the economic life of the security. The mortgage-backed portfolio is accounted for under the retrospective method and prepayment assumptions are based on market expectations. When actual prepayments differ significantly from anticipated prepayments, the effective yield is recalculated to reflect actual payments to date and anticipated future payments and any resulting adjustment is included in net investment income.

Other Assets
Investments in which the Company has significant influence over the operating and financial policies of the investee are classified as other assets and are accounted for under the equity method of accounting. Under this method, the Company records its proportionate share of income or loss from such investments in its results for the period and includes these investments in other assets in its consolidated financial statements.

Also included in other assets are depreciable long-lived assets such as information technology equipment, software and software licenses, leasehold improvements, furniture and fixtures that are carried at cost less accumulated depreciation and are depreciated on a straight-line basis over their estimated useful lives taking into account residual value. The estimated useful lives (i.e., information technology equipment - three years; software - three to five years; leasehold improvements - shorter of their useful life or remaining life of the lease; furniture and fixtures - five years) is based on the period over which the Company expects to generate net cash inflows from the use of these assets. The depreciable long-lived assets are subject to impairment testing whenever events or changes in circumstances indicate that their carrying amount may not be recoverable.

Deferred Acquisition Costs
Costs that are directly related to the successful acquisition or renewal of insurance contracts are deferred and amortized over the respective policy terms. Acquisition costs are shown net of commissions on reinsurance ceded. All other acquisition related costs, including market research, training, administration, unsuccessful acquisition or renewal efforts, and product development are charged to expense as incurred.

Deferred acquisition costs are limited to their estimated realizable value based on the related unearned premiums. Anticipated loss and loss adjustment expenses based on historical and current experience and anticipated investment income related to those premiums are considered in determining the recoverability of deferred acquisition costs. Acquisition expenses also include profit commission. Profit commissions are recognized when earned.

Reserve for Losses and Loss Adjustment Expenses
The Company establishes reserves for unpaid reported losses and for losses incurred but not reported. The reserve for unpaid reported losses and loss expenses is established by management based on reports from loss adjusters, ceding companies and insureds and represents the estimated ultimate cost of events or conditions that have been reported to, or specifically identified, by the Company. The reserve for incurred but not reported losses and loss adjustment expenses is established by management based on actuarially determined estimates of ultimate losses and loss expenses. Inherent in the estimate of ultimate losses and loss expenses are expected trends in claim severity and frequency and other factors that vary significantly as claims are settled.

Accordingly, ultimate losses and loss expenses may differ materially from the amounts recorded in the consolidated financial statements. These estimates are reviewed regularly and, as experience develops and new information becomes known, the reserves are adjusted as necessary. Such adjustments, if any, are recorded in earnings in the periods in which they become known and are accounted for as changes in estimates.

Revenue Recognition
Direct insurance and assumed facultative reinsurance premiums are recognized as earned on a pro rata basis over the applicable policy or contract periods. For assumed treaty reinsurance written on a losses occurring basis, premiums written are earned on a pro rata basis over the risk period. For assumed treaty reinsurance written on a risks attaching basis, premiums written are earned on a pro rata basis over the periods of the underlying policies. Premiums may include estimates based on information received from brokers, ceding insurers and insureds, and any subsequent differences from such estimates are recorded in the period in which they are determined. In each case, the portions of the premiums written applicable to the unexpired terms are recorded as unearned premiums.

Assumed retroactive loss portfolio transfer ("LPT") contracts in which the insured loss events occurred prior to the inception of the contract are evaluated to determine whether they meet the established criteria for reinsurance accounting. If reinsurance accounting is appropriate, premiums written are fully earned and corresponding losses and loss adjustment expenses recognized at the inception of the contract. The contracts can cause significant variances in gross premiums written, net premiums written, net premiums earned, and net incurred losses in the years in which they are written. Reinsurance contracts sold not meeting the established criteria for reinsurance accounting are recorded using the deposit method.

A premium deficiency reserve is established when expected claim payments or incurred losses, loss adjustment expenses and administrative expenses exceed the premiums to be earned over the remaining contract period. For the purposes of determining whether a premium deficiency reserve exists contracts are grouped in a manner consistent with how policies are marketed, serviced and measured. Anticipated investment income is utilized as a factor in the premium deficiency reserve calculation.

Reinsurance
In the normal course of business, the Company may seek to mitigate underwriting risk that could cause unfavorable results by reinsuring certain amounts of risk with reinsurers. Reinsurance does not relieve the Company of its primary obligation to the insured. The accounting for reinsurance ceded depends on the method of reinsurance. If the policy is on a losses occurring basis, reinsurance premiums ceded and associated commissions are expensed on a pro rata basis over the period reinsurance coverage is provided. If the policy is on a risk attaching basis, reinsurance premiums ceded and associated commissions are expensed in line with gross premiums earned to which the risk attaching policy relates. Prepaid reinsurance premiums represent the portion of premiums ceded on the unexpired terms of the policies purchased. Reinsurance commissions that will be earned in the future are deferred and recorded as deferred acquisition costs on the balance sheets.

Reinsurance recoverable is presented on the balance sheets net of any reserves for uncollectible reinsurance. The method of determining the reinsurance recoverable on unpaid losses and loss adjustment expenses involves actuarial estimates in a manner consistent with the determination of unpaid losses and loss adjustment expenses. Ceded reinstatement premiums are estimated after the occurrence of a significant loss and are recorded in accordance with the contract terms based upon the ultimate loss estimates associated with each contract. Ceded reinstatement premiums are earned over the remaining contract period.

Certain ceded reinsurance contracts do not transfer underwriting risk and are accounted for using the deposit method of accounting. Fees are accounted for as income based on the terms of the contract. A deposit asset is recorded at the inception of the contract based on the consideration transferred. Corresponding changes in the amount of the deposit asset reflecting actual and expected future loss payments are recorded as a credit or charge to interest income.

Insurance and Reinsurance Balances Payable
Insurance and reinsurance balances payable principally represents ceded premiums payable and profit commissions payable to third party reinsurance companies or program administrators. Also included within this line item are amounts related to the Company's insurance business principally related to return premiums, which arise when an insurance contract is cancelled and the Company is required to return some or all of the premium received to the insured.

Translation of Foreign Currencies
The Company's reporting currency is the United States Dollar ("U.S. dollars"). The Company translates the financial statements of its foreign operations into U.S. dollars from the functional currency designated for each foreign unit, generally the currency of the primary economic environment in which that operation does its business. Assets and liabilities are translated into U.S. dollars at period-end exchange rates, while income and expenses are translated using average rates for the period. Translation adjustments are recorded as a separate component of accumulated other comprehensive income, net of tax, to the extent applicable. Foreign currency amounts are re-measured to the functional currency, and the resulting foreign exchange gains or losses are reflected in earnings.

Taxation
In accordance with FASB Accounting Standards Codification ASC Topic 740, Income Taxes, the income tax provision is calculated under the liability method of accounting.

The Company recognizes deferred income tax assets and liabilities for the expected future tax effects attributable to temporary differences between the financial statement and tax return basis of assets and liabilities based on enacted tax rates and other provisions of the tax law. The effect of a change in tax laws or rates on deferred tax assets and liabilities is recognized in income in the period in which such change is enacted. Deferred tax assets are reduced by a valuation allowance if it is more likely than not that all or some portion of the deferred tax assets will not be realized.

Discontinued operations
Disposal of businesses that are considered strategic shifts in the Company's operations are reflected as discontinued operations in the accompanying consolidated financial statements.

3. Discontinued operations

On December 31, 2018 the Company distributed Ironshore Holdings (U.S.) Inc. and its principal subsidiaries to Liberty Mutual Insurance Company by issuing a dividend.

On December 21, 2018, prior to the distribution, Liberty Mutual Group forgave outstanding debt for $297,677 and related interest of $6,902 from Ironshore Holdings U.S.; the forgiven debt was accounted for as equity contribution in the Company's consolidated financial statements. Also in connection with the distribution, Ironshore Holdings U.S. paid to the Company a one-time $195,418 dividend.

The Company determined that distribution of Ironshore Holdings U.S. qualifies as a discontinued operation, in accordance with U.S. GAAP, since it represents a strategic shift for the Company and has a major effect of the Company's operations and financial results. Accordingly, Ironshore Holdings U.S.'s operating results for all periods presented has been classified as a discontinued operation within the consolidated financial statements. As the transaction is between the entities under the common control, Ironshore Holdings U.S.'s assets and liabilities were considered as held and used until disposed, and, therefore, not separately identified on the consolidated balance sheet as of December 31, 2017.

The Company does not have significant continuing involvement in the Ironshore Holdings U.S. business.

The following table presents the amounts related to the operations and income/loss on distribution of Ironshore Holdings U.S. that have been reflected in discontinued operations:

	For the Years Ended December 31,	
	2018	**2017**
REVENUES		
Gross premiums written	$1,332,570	$1,204,939
Reinsurance premiums ceded	(1,332,570)	(909,677)
Net premiums written	-	295,262
Change in unearned premiums	-	(333,675)
Net premiums earned	-	(38,413)
Net investment income	14,431	19,061
Net realized and unrealized gains (losses) on investments	(2,650)	7,055
Net foreign exchange gains (losses)	5	(5)
Other income	6,933	10,320
Total revenues	18,719	(1,982)
EXPENSES		
Losses and loss adjustment expenses	(35,377)	367,749
Acquisition expenses	(4,016)	(31,358)
General and administrative expenses	5,082	150,152
Interest expense	11,074	16,058
Total expenses	(23,237)	502,601
Income (loss) from discontinued operations before provision for income tax	41,956	(504,583)
Income tax (expense) benefit	(9,524)	175,048
Income (loss) from discontinued operations, net of income tax	32,432	$(329,535)

As a result of the completion of the distribution on December 31, 2018, there were no assets or liabilities of the discontinued operation as of December 31, 2018. The following table summarizes the carrying value of the major classes of assets and liabilities of discontinued operations as of December 31, 2017.

	December 31, 2017
ASSETS	
Fixed maturity securities available for sale, at fair value	$334,535
Equity securities available for sale, at fair value	1,359
Short term investments, at fair value	14,706
Other investments	-
Total investments	350,600
Cash and cash equivalents	138,020
Accrued investment income	1,312
Premiums receivable	100,481
Reinsurance recoverable on unpaid losses	3,379,131
Prepaid reinsurance premiums	632,408
Receivable for securities sold	1,015
Goodwill and other intangible assets	45,116
Deferred tax asset	83,373
Amounts receivable from related parties	42,818
Other assets	183,325
Total assets of distributed subsidiaries	$4,957,599
LIABILITIES	
Reserve for losses and loss adjustment expenses	$3,379,131
Unearned premiums	632,408
Insurance and reinsurance balances payable	31,739
Deferred gain on retroactive contract	303,219
Payable for securities purchased	30
Amounts payable to related parties	107,384
Other liabilities	185,534
Debt obligations	297,677
Total liabilities of distributed subsidiaries	$4,937,122

In the consolidated statements of cash flows, the cash flows from discontinued operations are not separately presented. The following table presents selected financial information regarding cash flows of the discontinued operations.

	For the Years Ended December 31,	
	2018	2017
Net cash provided by (used in):		
Operating activities	$166,699	$(71,790)
Investing activities	(33,391)	243,517
Financing activities	-	(99,381)

4. Investments

The amortized cost, gross unrealized gains and losses and fair value of available for sale securities as of December 31, 2019 and 2018 are as follows:

		Included in Accumulated Other Comprehensive Income			
December 31, 2019	**Cost or amortized cost**	**Unrealized gains**	**Unrealized losses**	**Fair value**	**Non-credit-other than temporary impairment**
U.S. government and government agency securities	$494,942	$3,067	$(184)	$497,825	$ -
Non-U.S. government securities	48,639	346	(26)	48,959	-
U.S. state and municipal securities	71,821	2,871	(67)	74,625	-
Corporate and other securities	879,381	25,382	(1,680)	903,083	-
Residential mortgage-backed securities	230,772	3,550	(79)	234,243	-
Commercial mortgage-backed securities	63,167	3,340	(122)	66,385	-
Other mortgage-backed and asset-backed securities	106,171	366	(31)	106,506	-
Total fixed maturity securities	$1,894,893	$38,922	$(2,189)	$1,931,626	$ -

		Included in Accumulated Other Comprehensive Income			
December 31, 2018	**Cost or amortized cost**	**Unrealized gains**	**Unrealized losses**	**Fair value**	**Non-credit-other than temporary impairment**
U.S. government and government agency securities	$257,497	$1,270	$(1,768)	$256,999	$ -
Non-U.S. government securities	91,061	261	(812)	90,510	-
U.S. state and municipal securities	50,333	210	(243)	50,300	-
Corporate and other securities	998,919	1,078	(21,867)	978,130	-
Residential mortgage-backed securities	262,247	25	(5,235)	257,037	-
Commercial mortgage-backed securities	61,972	1,415	(390)	62,997	-
Other mortgage-backed and asset-backed securities	31,197	177	(78)	31,296	-
Total fixed maturity securities	$1,753,226	$4,436	$(30,393)	$1,727,269	$ -

The following table presents the other comprehensive income reclassification adjustments on investments for the year ended December 31, 2019 and 2018:

	2019	**2018**
Change on net unrealized (losses) gains on investments arising during the year	$85,743	$(47,301)
Less:		
Reclassification adjustment included in net loss from continuing operations	(13,714)	11,091
Reclassification adjustment included in net income from discontinuing operations	-	2,577
Other comprehensive (loss) income, before tax	72,029	(33,633)
Less: Income tax benefit (expense)	(14,673)	6,637
Other comprehensive (loss) income, net of tax	$57,356	$(26,996)

Included in the tables above are fixed maturity securities with a fair value of $2,199 and $1,988 that are on deposit with U.S. and Cayman Islands' insurance regulators as of December 31, 2019 and 2018, respectively, to meet certain statutory requirements. The Company also maintains cash and cash equivalents of $12,660 and $5,399; and fixed maturity securities of $722,132 and $633,683 in trust accounts as collateral under the terms of certain insurance and reinsurance transactions as of December 31, 2019 and 2018, respectively.

As of December 31, 2019 and 2018, the Company maintained a trust account composed of cash and cash equivalents of $8,882 and $149; and fixed maturity securities of $44,302 and $80,100, respectively, to meet certain Canadian insurance regulatory requirements for Ironshore Insurance Ltd., Canada Branch.

As of December 31, 2019 and 2018, the Company maintained a deposit composed of cash and cash equivalents of $507 and $506; and fixed maturity securities of $4,381 and $4,237, respectively, in favor of the Superintendent of Insurance of the Turks & Caicos Islands as part of the country's regulatory requirement.

On December 1, 2009, the Company entered into a standby letter of credit facility provided by Citibank Europe plc. As of December 31, 2019 and 2018, $55,598 and $57,345, respectively, of letters of credit were issued and outstanding under this facility. Fixed maturity securities of $62,190 and $68,220 as of December 31, 2019 and 2018, respectively, were pledged as collateral.

The Company's parent operates in the Lloyd's market through its corporate member Liberty Corporate Capital (Two) Ltd. ("LCC2"), which represents its participation in Syndicate 4000 and in Syndicate 2014. Lloyd's sets capital requirements for corporate members annually through the application of a capital model that is based on regulatory capital rules pursuant to Directive 2009/138/EC of the European Parliament and of the Council of 25 November 2009 on the taking-up and pursuit of the business of Insurance and Reinsurance (Solvency II) ("Solvency II"), as further adjusted by Lloyd's. Such capital, or Funds at Lloyd's ("FAL"), may be satisfied by cash, certain investments and undrawn letters of credit provided by approved banks. As of December 31, 2019 and 2018, fixed maturity securities of $442,472 and $472,573 were restricted to satisfy LCC2's FAL requirements. These assets set aside to satisfy Lloyd's FAL requirement were provided by the Company.

The following represents an analysis of net realized gains (losses) on the sale of available for sale securities for the year ended December 31, 2019 and 2018:

	December 31, 2019		
	Realized gains	**Realized losses**	**Net realized gains (losses)**
Fixed maturity securities	$19,217	$(5,510)	$13,707
Short term investments	24	(17)	7
	$19,241	$(5,527)	$13,714

	December 31, 2018		
	Realized gains	**Realized losses**	**Net realized gains (losses)**
Fixed maturity securities	$2,463	$(13,283)	$(10,820)
Short term investments	-	(271)	(271)
	$2,463	$(13,554)	$(11,091)

The following table summarizes the fair value and gross unrealized losses of available for sale securities aggregated by category and the length of time the individual securities have been in a continuous unrealized loss position:

	0 - 12 Months		Over 12 Months	
December 31, 2019	**Fair Value**	**Gross Unrealized Loss**	**Fair Value**	**Gross Unrealized Loss**
U.S. government and government agency securities	$51,670	$(157)	$4,625	$(27)
Non-U.S. government securities	6,779	(12)	2,787	(14)
U.S. state and municipal securities	13,548	(67)	-	-
Corporate and other securities	33,632	(679)	45,050	(1,001)
Residential mortgage-backed securities	9,198	(48)	5,113	(31)
Commercial mortgage-backed securities	10,360	(116)	931	(6)
Other mortgage-backed and asset-backed securities	46,442	(31)	167	-
Total fixed maturity securities	$171,629	$(1,110)	$58,673	$(1,079)

	0 - 12 Months		Over 12 Months	
December 31, 2018	**Fair Value**	**Gross Unrealized Loss**	**Fair Value**	**Gross Unrealized Loss**
U.S. government and government agency securities	$31,759	$(336)	$94,064	$(1,432)
Non-U.S. government securities	15,401	(536)	40,884	(276)
U.S. state and municipal securities	25,638	(150)	10,882	(93)
Corporate and other securities	536,771	(13,378)	286,569	(8,489)
Residential mortgage-backed securities	26,205	(461)	227,389	(4,774)
Commercial mortgage-backed securities	10,659	(222)	5,643	(168)
Other mortgage-backed and asset-backed securities	7,920	(74)	496	(4)
Total fixed maturity securities	$654,353	$(15,157)	$665,927	$(15,236)

Unrealized losses decreased from $30,393 as of December 31, 2018 to $2,189 as of December 31, 2019 primarily due to the drop in interest rates and a drop in credit spreads. As of December 31, 2019, there were 79 securities that were in an unrealized loss position for 12 months or longer. The Company monitors the difference between the amortized cost and estimated fair value of fixed maturity securities to ascertain whether declines in value are temporary in nature. The Company currently does not have the intent to sell and has determined it is not more likely than not that it would be required to sell these fixed maturity securities before recovery.

The Company reviewed all available for sale investments in an unrealized loss position as of December 31, 2019 and 2018 and noted no other-than-temporary impairment losses.

The amortized cost and fair value amounts for fixed maturity securities held as of December 31, 2019 and 2018 are shown by contractual maturity below. Actual maturity may differ from contractual maturity because certain borrowers may have the right to call or prepay certain obligations with or without call or prepayment penalties.

	December 31, 2019	
Available for Sale Securities	**Amortized**	**Fair value**
Due in one year or less	$141,925	$142,151
Due after one year through five years	957,706	971,289
Due after five years through ten years	324,271	336,293
Due after ten years	70,881	74,759
Residential, commercial and other mortgage and asset-backed securities	400,110	407,134
Total fixed maturity securities	$1,894,893	$1,931,626

	December 31, 2018	
Available for Sale Securities	**Amortized**	**Fair value**
Due in one year or less	$118,111	$117,487
Due after one year through five years	833,063	823,549
Due after five years through ten years	406,373	396,538
Due after ten years	40,263	38,365
Residential, commercial and other mortgage and asset-backed securities	355,416	351,330
Total fixed maturity securities	$1,753,226	$1,727,269

Net investment income is derived from the following sources:

	2019	2018
Fixed maturity securities	$60,750	$54,585
Other investments	1,828	5,490
Cash and cash equivalents	2,282	513
Short term investments	373	106
Total gross investment income	65,233	60,694
Investment expenses	(3,719)	(3,853)
Net investment income	$61,514	$56,841

5. Fair value measurement

Fair value is the price that would be received to sell an asset or would be paid to transfer a liability in an orderly transaction between market participants at the measurement date. In determining fair value, the Company primarily uses the market approach, which generally utilizes market transaction data for identical or similar instruments.

The hierarchy level assigned to each security in the Company's available for sale portfolio is based on the Company's assessment of the transparency and reliability of the inputs used in the valuation of each instrument at the measurement date. The highest priority is given to unadjusted quoted prices in active markets for identical assets (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements). Securities are classified based on the lowest level of input that is significant to the fair value measurement. The three hierarchy levels are defined as follows:

- Level 1 — Valuations based on unadjusted quoted market prices in active markets for identical assets or liabilities that the Company has the ability to access.
- Level 2 — Valuations based on observable inputs (other than Level 1 prices), such as quoted prices for similar assets or liabilities at the measurement date, quoted prices in markets that are not active, or other inputs that are observable, either directly or indirectly.
- Level 3 — Valuations based on inputs that are unobservable and significant to the overall fair value measurement and involve management judgment. The unobservable inputs reflect the Company's estimates of the assumptions that market participants would use in valuing the assets and liabilities.

The availability of observable inputs can vary from financial instrument to financial instrument and is affected by a wide variety of factors, including, for example, the type of financial instrument, whether the financial instrument is new and not yet established in the marketplace, and other characteristics particular to the financial instrument. To the extent that valuation is based on models or inputs that are less observable or unobservable in the market, the determination of fair value requires significantly more judgment. Accordingly, the degree of judgment exercised by management in determining fair value is greatest for instruments categorized in Level 3.

The Company is responsible for the determination of fair value and the supporting assumptions and methodologies. The Company gains assurance on the overall reasonableness and consistent application of valuation methodologies and inputs and compliance with accounting standards through the execution of various processes and controls designed to ensure that the Company's assets and liabilities are appropriately valued. For fair values received from third parties or internally estimated, the Company's processes are designed to determine that the valuation methodologies and inputs are appropriate and consistently applied, the assumptions are reasonable and consistent with the objective of determining fair value, and the fair values are accurately recorded. For example, on a continuing basis, the Company assesses the reasonableness of individual fair values that have stale security prices or that exceed certain thresholds as compared to previous fair values received from valuation service providers or brokers or derived from internal models. The Company performs procedures to understand and assess the methodologies, processes and controls of valuation service providers. In addition, the Company may validate the reasonableness of fair values by comparing information obtained from valuation service providers or brokers to other third party valuation sources for selected securities.

The Company used the following methods and assumptions in estimating the fair value of its financial instruments as well as the general classification of such financial instruments pursuant to the above fair value hierarchy:

Fixed maturity securities
At each valuation date, the Company uses various valuation techniques to estimate the fair value of its fixed maturities portfolio. The primary method for valuing the Company's securities is through independent third-party valuation service providers. For positions where valuations are not available from independent third-party valuation service providers, the Company utilizes broker quotes and internal pricing methods to determine fair values. The Company obtains a single non-binding price quote from a broker familiar with the security who, similar to the Company's valuation service providers, may consider transactions or activity in similar securities, as applicable, among other information. The brokers providing price quotes are generally from the brokerage divisions of leading financial institutions with market making, underwriting and distribution expertise regarding the security subject to valuation. The evaluation and prioritization of these valuation sources is systematic and predetermined resulting in a single quote or price for each financial instrument. The following describes the techniques generally used to determine the fair value of the Company's fixed maturities by asset class:

U.S. government and government agency securities
U.S. government and agency securities consist primarily of bonds issued by the U.S. Treasury and mortgage pass-through agencies such as the Federal Home Loan Bank, the Federal National Mortgage Association and the Federal Home Loan Mortgage Corporation. As the fair values of the Company's U.S. Treasury securities are based on active markets and unadjusted market prices, they are classified within Level 1. The fair value of U.S. government agency securities is generally determined using observable market inputs that include quoted prices for identical or similar assets in markets that are not active, benchmark yields, reported trades, bids, offers and credit spreads. Accordingly, the fair value of U.S. government agency securities is classified within Level 2.

Non-U.S. government securities
Non-U.S. government securities include bonds issued or guaranteed by Non-U.S. governments. The fair value of Non-U.S. government securities is generally determined using observable market inputs that include quoted prices for identical or similar assets in markets that are not active, benchmark yields, binding broker quotes, issuer ratings, reported trades of identical or comparable securities and credit spreads. Accordingly, the fair value of Non-U.S. government securities is primarily classified within Level 2. In the event third-party vendor valuation is not available, prices are determined using non-binding price quotes from a broker familiar with the security. In this instance, the valuation inputs are generally unobservable and the fair value is classified within Level 3.

Municipal securities
The Company's municipal portfolio is comprised of bonds issued by U.S. domiciled state and municipal entities. The fair value of municipal securities is generally determined using observable market inputs that include quoted prices for identical or similar assets in markets that are not active, benchmark yields, binding broker quotes, issuer ratings, reported trades and credit spreads. Accordingly, the fair value of municipal securities is primarily classified within Level 2.

Mortgage-backed securities ("MBS")
The Company's portfolio of residential and commercial mortgage-backed securities is originated by both agencies and non-agencies, the majority of which are pass-through securities issued by U.S. government agencies. The fair value of mortgage-backed securities is generally determined using observable market inputs that include quoted prices for identical or similar assets in markets that are not active, benchmark yields, contractual cash flows, prepayment speeds, collateral performance and credit spreads. Accordingly, the fair value of MBS is primarily classified within Level 2.

Asset-backed securities ("ABS")
Asset-backed securities include mostly investment-grade bonds backed by pools of loans with a variety of underlying collateral, including automobile loan receivables, credit card receivables, and collateralized loan obligation securities originated by a variety of financial institutions. The fair value of asset-backed securities is generally determined using observable market inputs that include quoted prices for identical or similar assets in markets that are not active, benchmark yields, contractual cash flows, prepayment speeds, collateral performance and credit spreads. Accordingly, the fair value of ABS is primarily classified within Level 2.

Corporate and other securities
Corporate and other securities consist primarily of investment-grade debt of a wide variety of corporate issuers and industries. The fair value of corporate and other securities is generally determined using observable market inputs that include quoted prices for identical or similar assets in markets that are not active, benchmark yields, new issuances, issuer ratings, reported trades of identical or comparable securities, bids, offers and credit spreads. Accordingly, the fair value of corporate and other securities is primarily classified within Level 2. In the event third-party vendor valuation is not available, prices are determined using non-binding price quotes from a broker familiar with the security. In this instance, the valuation inputs are generally unobservable and the fair value is classified within Level 3.

Equity securities
Equity securities include common stocks. Common stocks with fair values based on quoted market prices in active markets are classified within Level 1. Common stocks with fair values determined using observable market inputs that include quoted prices for identical or similar assets in markets that are not active are classified within Level 2.

Short-term investments
The fair value of short-term investments is generally determined using observable market inputs that include quoted prices for identical or similar assets in markets that are not active, benchmark yields, new issuances, issuer ratings, reported trades of identical or comparable securities, bids, offers and credit spreads. Accordingly, the fair value of short-term investments is primarily classified within Level 2 of the fair value hierarchy.

Other investments
The Company's other investments include investments in closed-end limited partnerships that invest primarily in private commercial real estate debt in North America and Europe ("Real Estate Debt Funds"). The Company also invested in a limited partnership fund registered in Cayman Islands called China Momentum Fund, L.P. ("CMF"). The fair value of these investments is estimated using the net asset value ("NAV") as provided by the general partners or investment managers. As the NAV obtained from the general partners or investment managers lags by one quarter as of the measurement date, the Company considers any adjustment to the most recent NAV such as capital calls, distributions, redemptions and all other information available to the Company.

The Real Estate Debt Funds invest principally in senior and subordinated instruments, including mortgages, B-notes and mezzanine, senior and bridge loans related to real estate-related assets. These investments are not allowed to be redeemed, transferred or resold and have an estimated term of three to seven years. CMF invests primarily in a portfolio of companies engaged in consumer, financial or industrial undertakings domiciled in China, Hong Kong, Macau and/or Taiwan. The investment period for CMF commenced on August 15, 2013 with an estimated term of 10 years unless sooner dissolved.

As of December 31, 2019 and 2018, Real Estate Debt Funds and the Company's investments in CMF had a balance of $31,089 and $65,228, accordingly, recorded as other investments in the consolidated balance sheets. Other investments are measured at fair value using the net asset value practical expedient as of December 31, 2019 and 2018 and were not classified in the fair value hierarchy above.

The Company received assistance with its investment accounting function from a related party within the Liberty Mutual group. These service providers as well as the Company's investment managers use several pricing services and brokers to assist with the determination of the fair value of the Company's investment portfolio. The Company does not typically adjust prices obtained from pricing services. In accordance with accounting guidance regarding fair value measurements, the Company's service providers maximize the use of observable inputs ensuring that unobservable inputs are used only when observable inputs are not available.

The following table presents the Company's investments that are measured at fair value on a recurring basis as well as the carrying amount of these investments as of December 31, 2019 by level within the fair value hierarchy:

2019	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total
U.S. government and government agency securities	$497,825	$ -	$ -	$497,825
Non-U.S. government securities	-	48,959	-	48,959
U.S. state and municipal securities	-	74,625	-	74,625
Corporate and other securities	-	847,278	55,805	903,083
Residential mortgage-backed securities	-	234,243	-	234,243
Commercial mortgage-backed securities	-	66,385	-	66,385
Other mortgage-backed and asset-backed securities	-	106,506	-	106,506
Total fixed maturity securities	497,825	1,377,996	55,805	1,931,626
Short term investments	-	4,067	-	4,067
	$497,825	$1,382,063	$55,805	$1,935,693

The following table presents the Company's investments that are measured at fair value on a recurring basis as well as the carrying amount of these investments as of December 31, 2018 by level within the fair value hierarchy:

2018	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total
U.S. government and government agency securities	$256,999	$ -	$ -	$256,999
Non-U.S. government securities	-	90,510	-	90,510
U.S. state and municipal securities	-	50,300	-	50,300
Corporate and other securities	-	896,511	81,619	978,130
Residential mortgage-backed securities	-	257,037	-	257,037
Commercial mortgage-backed securities	-	62,997	-	62,997
Other mortgage-backed and asset-backed securities	-	31,296	-	31,296
Total fixed maturity securities	$256,999	$1,388,651	$81,619	$1,727,269

As of December 31, 2019 and 2018, the Company's Level 3 investments represented 2.9% and 4.7%, respectively, of its total investments measured at fair value.

Level 3 Gains and Losses

The table below presents assets that are measured at fair value on a recurring basis as of December 31, 2019 and 2018 using significant Level 3 inputs:

	December 31, 2019			December 31, 2018		
	Purchases	Transfer in to Level 3	Transfer out of Level 3	Purchases	Transfer in to Level 3	Transfer out of Level 3
Assets at fair value						
Corporate and other	$2,076	$ -	$ -	$ -	$ -	$ -
Residential MBS	3,656	-	-	2,058	-	(1,969)
Other MBS and ABS	-	-	-	-	-	-
Equity securities	-	-	-	-	-	-
Short-term investments	-	-	-	804	-	-
	$5,732	$ -	$ -	$ 2,862	$ -	$(1,969)

The transfers from Level 3 to Level 2 during the year ended December 31, 2018 reflect higher reliance on observable inputs.

The Company had no material assets or liabilities that were measured at fair value on a nonrecurring basis during the years ended December 31, 2019 and 2018.

6. Reserves for losses and loss adjustment expenses

Reserves for losses and loss adjustment expenses are based in part upon the estimation of case reserves reported from brokers, insureds and ceding companies. The Company also uses statistical and actuarial methods to estimate ultimate expected losses and loss adjustment expenses. The period of time from the occurrence of a loss, the reporting of a loss to the Company and the settlement of the Company's liability may be several months or years. During this period, additional facts and trends may be revealed. As these factors become apparent, case reserves will be adjusted, sometimes requiring an increase or decrease in the overall reserves of the Company, and at other times requiring a reallocation of incurred but not reported reserves to specific case reserves. These estimates are reviewed regularly, and such adjustments, if any, are recorded in earnings in the period in which they become known. While management believes it has made a reasonable estimate of ultimate losses, there can be no assurances that ultimate losses and loss expenses will not exceed the total reserves.

The following table represents the activity in the reserve for losses and loss adjustment expenses for the years ended December 31, 2019 and 2018, respectively:

	2019	2018
Gross reserves for losses and loss adjustment expenses, beginning of year	$1,313,554	$4,578,128
Less reinsurance recoverable balances, beginning of year	567,782	3,944,173
Net reserves for losses and loss adjustment expenses, beginning of year	745,772	633,955
Increase (decrease) in net losses and loss adjustment expenses incurred in respect of losses		
Current year	348,237	446,196
Prior years	(26,116)	14,721
Total incurred losses and loss adjustment expenses	322,121	460,917
Less net losses and loss adjustment expenses paid in respect of losses occurring in:		
Current year	50,394	107,461
Prior years	437,584	231,938
Total net paid losses	487,978	339,399
Adjustments:		
Assumed loss reserves related to retroactive reinsurance contract with HIDAC	100,262	-
Net foreign currency gain on loss and loss adjustment expenses	5,306	(9,701)
	105,568	(9,701)
Net reserve for losses and loss adjustment expenses, end of year	685,483	745,772
Plus reinsurance recoverable balances, end of year	573,333	567,782
Gross reserve for losses and loss adjustments expenses, end of year	$1,258,816	$1,313,554

There was a significant adjustment to the reserves for losses and loss adjustment expenses for the year ended December 31, 2019 relating to the retroactive reinsurance contract with Hamilton Insurance Designated Activity Company ("HIDAC", previously known as "Ironshore Europe DAC"). LSM Bermuda participated in a reinsurance agreement with HIDAC, where the Company assumed 80% quota share of all insurance and reinsurance risks earned by HIDAC. On August 20, 2019, LSM Bermuda and HIDAC entered into a retroactive reinsurance agreement, where LSM Bermuda assumed an additional 20% quota share of all insurance and reinsurance risk earned by HIDAC till the date of the agreement. This transaction brought the existing reinsurance agreement with HIDAC to 100% quota share of all insurance and reinsurance risk earned by HIDAC up to the date of the sale of HIDAC to Hamilton Insurance Group. Hamilton Insurance Group are responsible for all HIDAC risks written from the date of the sale.

There was an overall prior year favorable development of $26,116 for the year ended December 31, 2019. The underlying reasons for the prior year favorable development included:

- Net favorable development of $41,585 driven primarily by $28,289 of recovery recorded for International segment and $9,591 favorable development on Political risk;

- Net unfavorable loss reserve development of $15,469 across multiple accident years due to losses emerging higher than expected including $11,173 on business written through LSM Agency and $3,319 on Corporate deals.

The Company's underlying reasons for prior year unfavorable development of $14,721 for the year ended December 31, 2018 included:

- Net unfavorable loss reserve development of $27,145 across multiple accident years due to losses emerging higher than expected including $13,437 on Political Risk in 2016 and 2017 accident years and $12,129 on Corporate deals;

- Net favorable development of $12,467 driven primarily by $5,764 of recovery recorded for LSM Agency and $3,853 favorable development on Aviation.

The Company has written an increasing volume of casualty business in recent years, which adds significant variability to management's estimates because of the longer tail nature of the risks.

Claims Development and Frequency

The information provided herein about incurred and paid accident year claims development, net of reinsurance, for the years ended prior to December 31, 2019 and the annual percentage payouts of incurred claims by age, net of reinsurance, is presented as supplementary information. For incurred and paid accident year claims denominated in foreign currency, the Company used the current year-end balance sheet foreign exchange rate for all periods provided, thereby eliminating the effects of changes in foreign currency translation rates from the incurred and paid accident year claims development information included in the tables below.

Casualty
(Claims counts in whole numbers)

Incurred claims and allocated claims adjustment expenses, net of reinsurance

As of December 31, 2019

	----------supplemental and unaudited----------									Gross		Net of	Total of incurred but not reported liabilities plus expected development on reported claims	Cumulative number of reported claims(1)
AY	**2010**	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**	**2017**	**2018**	**2019 (2)**	**ADC**	**ADC**		
2010	$32,737	$35,787	$31,646	$31,084	$28,799	$28,238	$26,981	$27,610	$25,994	$28,912	$(385)	$28,527	$1,189	3,013
2011		40,108	37,222	35,829	33,232	35,208	40,748	43,061	42,535	42,813	(1,247)	41,566	4,214	4,105
2012			56,185	51,372	50,722	48,528	45,205	43,598	42,964	46,886	(3,093)	43,793	4,649	5,020
2013				65,139	67,616	65,889	75,645	78,474	78,118	104,733	(5,588)	99,145	11,607	5,768
2014					85,283	93,622	92,089	94,520	88,580	81,083	(9,143)	71,940	19,372	9,097
2015						92,325	111,725	142,995	142,454	161,500	(16,227)	145,273	17,410	9,891
2016							98,419	109,629	105,843	118,499	(11,631)	106,868	18,326	10,021
2017								107,912	120,698	128,857		128,857	54,397	11,709
2018									133,975	153,389		153,389	99,033	10,825
2019										89,795		89,795	89,566	6,604
								Total		**$956,467**	**$(47,314)**	**$909,153**		

(1) Note that 73% of claim count information is disclosed on a per claimant basis and 27% is disclosed on a per occurrence basis.
(2) Gross of retroactive reinsurance contract with HIDAC, see below

Cumulative paid claims and allocated claims adjustment expenses, net of reinsurance

As of December 31, 2019

	----------supplemental and unaudited----------									
AY	**2010**	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**	**2017**	**2018**	**2019 (2)**
2010	$245	$3,979	$11,863	$10,295	$16,133	$19,158	$20,640	$24,105	$22,078	$27,649
2011		1,837	2,682	2,262	5,843	8,459	28,552	35,599	34,303	38,715
2012			459	4,365	5,326	9,573	540	32,106	25,421	36,190
2013				882	2,658	9,155	11,372	68,546	59,098	64,693
2014					2,336	10,223	15,417	63,811	58,849	65,312
2015						2,322	19,677	67,052	84,516	109,235
2016							902	15,989	43,829	78,422
2017								1,738	16,704	65,645
2018									16,598	38,066
2019										10,208
								Total		**$534,135**
								All net outstanding liabilities prior to 2010, net of reinsurance		**358**
								Liabilities for claims and claim adjustment expense		**$375,376**

Average annual percentage payout of incurred claims (Supplemental and unaudited)

Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
3.6%	9.3%	16.5%	16.3%	11.8%	24.7%	3.2%	10.6%	1.6%	19.3%

Property
(Claims count in whole numbers)

Incurred claims and allocated claims adjustment expenses, net of reinsurance

As of December 31, 2019

	----------supplemental and unaudited----------									Gross		Net of	Total of incurred but not reported liabilities plus expected development on reported claims	Cumulative number of reported claims(1)
AY	**2010**	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**	**2017**	**2018**	**2019 (2)**	**ADC**	**ADC**		
2010	$74,029	$71,118	$72,569	$72,458	$71,514	$72,259	$72,191	$71,101	$72,012	$74,945	$(1,004)	$73,941	$3	1,314
2011		69,988	67,229	66,472	64,880	65,197	63,697	69,270	64,364	69,902	(2,022)	67,880	438	1,404
2012			39,009	41,168	36,309	35,506	35,116	33,348	33,612	39,766	(2,418)	37,348	401	1,019
2013				48,641	47,189	50,183	48,828	43,465	45,697	47,331	(2,826)	44,505	562	1,372
2014					82,903	83,213	72,628	71,501	75,885	77,625	(8,201)	69,424	851	1,541
2015						45,436	42,119	38,733	36,897	39,003	(4,127)	34,876	244	1,482
2016							67,315	67,889	65,041	65,975	(7,148)	58,827	2,671	1,832
2017								169,755	211,479	188,600		188,600	19,597	2,374
2018									130,271	138,750		138,750	17,627	2,510
2019										103,243		103,243	29,107	806
								Total		**$845,140**	**$(27,746)**	**$817,394**		

(1) Note that 56% of claim count information is disclosed on a per claimant basis and 44% is disclosed on a per occurrence basis.
(2) Gross of retroactive reinsurance contract with HIDAC, see below

Cumulative paid claims and allocated claims adjustment expenses, net of reinsurance

As of December 31, 2019

	----------supplemental and unaudited----------									
AY	**2010**	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**	**2017**	**2018**	**2019 (2)**
2010	$19,443	$52,328	$62,019	$69,697	$68,670	$69,614	$70,380	$67,384	$72,190	$74,944
2011		10,720	36,527	59,481	61,030	62,590	61,250	68,517	64,004	68,527
2012			1,646	22,020	29,312	32,641	32,826	30,218	31,865	33,671
2013				6,548	27,632	43,137	46,637	41,018	44,824	45,843
2014					24,343	51,845	62,115	55,941	72,421	74,763
2015						7,828	14,868	22,164	32,733	37,251
2016							10,126	36,060	50,226	65,307
2017								35,685	127,478	148,700
2018									24,347	86,035
2019										20,537
								Total		**$655,578**
								All net outstanding liabilities prior to 2010, net of reinsurance		**3,231**
								Liabilities for claims and claim adjustment expense		**$165,047**

Average annual percentage payout of incurred claims (Supplemental and unaudited)

Year 1	**Year 2**	**Year 3**	**Year 4**	**Year 5**	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**
18.2%	40.3%	20.2%	10.0%	3.7%	0.8%	4.4%	-2.0%	6.4%	3.7%

Specialty Short Tail
(Claims count in whole numbers)

Incurred claims and allocated claims adjustment expenses, net of reinsurance

As of December 31, 2019

	----------supplemental and unaudited----------									Gross		Net of	Total of incurred but not reported liabilities plus expected development on reported claims	Cumulative number of reported claims(1)
AY	**2010**	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**	**2017**	**2018**	**2019 (2)**	**ADC**	**ADC**		
2010	$31,667	$27,018	$25,995	$29,599	$34,219	$33,831	$32,769	$35,720	$33,325	$40,948	$(547)	$40,401	$ -	1,475
2011		47,063	47,370	45,115	50,809	51,634	51,096	53,027	49,141	61,413	(1,783)	59,630	32	2,098
2012			66,416	60,817	51,757	48,197	47,742	43,439	45,502	58,141	(3,727)	54,414	2,466	2,605
2013				92,735	96,417	97,300	96,389	95,303	96,058	97,289	(5,838)	91,451	2,100	3,140
2014					115,858	126,035	129,151	129,601	127,389	123,728	(13,424)	110,304	6,265	3,575
2015						116,861	117,568	128,958	130,229	138,732	(14,269)	124,463	1,168	3,863
2016							117,184	144,807	140,735	147,250	(15,163)	132,087	3,205	4,215
2017								140,981	139,140	115,828		115,828	8,269	4,483
2018									194,743	154,928		154,928	40,959	3,384
2019										152,781		152,781	97,286	1,094
								Total		**$1,091,038**	**$(54,751)**	**$1,036,287**		

(1) Note that 10% of claim count information is disclosed on a per claimant basis and 90% is disclosed on a per occurrence basis.
(2) Gross of retroactive reinsurance contract with HIDAC, see below

Cumulative paid claims and allocated claims adjustment expenses, net of reinsurance

As of December 31, 2019

	----------supplemental and unaudited----------									
AY	**2010**	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**	**2017**	**2018**	**2019 (2)**
2010	$8,334	$17,142	$19,480	$23,179	$28,823	$31,656	$30,880	$35,915	$33,204	$40,918
2011		13,720	31,111	31,777	40,530	44,057	45,578	52,748	48,919	61,405
2012			16,627	34,030	34,137	47,812	41,276	42,496	45,119	55,682
2013				23,425	50,166	69,749	79,144	74,918	94,438	95,525
2014					25,663	80,760	123,312	125,639	124,674	118,907
2015						42,474	79,659	117,691	123,363	138,270
2016							24,913	133,023	125,005	146,577
2017								14,064	73,065	115,550
2018									60,689	115,742
2019										20,813
								Total		**$909,389**
								All net outstanding liabilities prior to 2010, net of reinsurance		**-**
								Liabilities for claims and claim adjustment expense		**$126,898**

Average annual percentage payout of incurred claims (Supplemental and unaudited)

Year 1	**Year 2**	**Year 3**	**Year 4**	**Year 5**	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**
22.9%	37.6%	15.0%	11.0%	2.3%	5.4%	3.9%	8.1%	6.9%	18.8%

The assumed loss reserves related to the retroactive reinsurance contract with HIDAC has been presented prospectively within the loss development tables above, from the date that the retroactive reinsurance agreement became effective. As of December 31, 2019, the Company held $97,599 of liabilities for claims and claim adjustment expense associated with the retroactive reinsurance contract with HIDAC.

The following table provides a breakdown of incurred and paid claims by accident year, net of reinsurance, that were included in the loss development tables and related to the retroactive reinsurance agreement:

Incurred claims and allocated claims adjustment expenses, net of reinsurance				Cumulative paid claims and allocated claims adjustment expenses, net of reinsurance				Total of incurred but not reported liabilities plus expected development on reported claims			
	Casualty	Property	Specialty Short tail		Casualty	Property	Specialty Short tail		Casualty	Property	Specialty Short tail
AY	**2019**	**2019**	**2019**	**AY**	**2019**	**2019**	**2019**	**AY**	**2019**	**2019**	**2019**
2011	$117	$212	$ -	**2011**	$39	$27	$ -	**2011**	$75	$86	$0
2012	706	613	2	**2012**	31	23	-	**2012**	563	17	1
2013	4,859	84	199	**2013**	120	3	-	**2013**	955	4	152
2014	3,630	166	240	**2014**	270	17	54	**2014**	2,586	4	52
2015	15,545	293	564	**2015**	81	10	96	**2015**	3,376	9	131
2016	8,410	525	1,241	**2016**	73	1	570	**2016**	6,071	12	1,411
2017	12,367	2,918	3,460	**2017**	151	135	999	**2017**	10,218	279	551
2018	13,484	4,738	4,759	**2018**	20	1,203	537	**2018**	12,503	830	2,802
2019	10,312	6,126	7,097	**2019**	24	536	48	**2019**	9,665	3,757	6,990
	$69,430	**$15,675**	**$17,562**		**$809**	**$1,955**	**$2,304**		**$46,012**	**$4,998**	**$12,090**

The table below provides reconciliation of the disclosure incurred and paid claims development to the liability for unpaid claims and claims adjustments expenses ("CAE"):

Net outstanding liabilities for unpaid claims and CAE, net of ADC	**December 31, 2019**
Casualty	$375,376
Property	165,047
Specialty Short Tail	126,898
Liabilities for unpaid claims and allocated CAE, net of reinsurance	**$667,321**
Reinsurance recoverable on unpaid claims	
Casualty	341,555
Property	148,528
Specialty Short Tail	83,250
Total reinsurance recoverable on unpaid claims	**573,333**
Unallocated claims adjustment expenses	18,162
Gross reserve for losses and loss adjustment expenses	**$1,258,816**

7. Reinsurance

In certain cases, the risks written by the Company are wholly or partially reinsured with third-party reinsurers. Reinsurance ceded varies by location and line of business based on a number of factors, including market conditions. The benefits of ceding risks to third-party reinsurers include reducing exposure on individual risks, protecting against catastrophic risks, maintaining acceptable capital ratios and enabling the writing of additional business. Reinsurance ceded contracts do not discharge the Company from its liabilities to the original policyholder in respect of the risk being reinsured.

The Company uses reinsurance to support its underwriting and retention guidelines as well as to control the aggregate exposure of the Company to a particular risk or class of risks. Reinsurance may be purchased at several levels ranging from reinsurance of risks assumed on individual contracts to reinsurance covering the aggregate exposure on a portfolio of policies issued by groups of companies.

a) Effects of reinsurance on premiums written and earned

The effects of reinsurance on premiums written and earned, and on losses and loss adjustment expenses is as follows:

	2019	2018
Net premiums written		
Direct	$118,199	$185,887
Assumed	494,629	728,162
Ceded	(114,121)	(181,228)
Net premiums written	$498,707	$732,821
Net premiums earned		
Direct	$139,350	$150,822
Assumed	540,709	679,472
Ceded	(144,958)	(176,149)
Net premiums earned	$535,101	$654,145
Loss and Loss adjustment expenses		
Gross losses and loss adjustment expenses incurred	$466,490	$573,218
Losses and loss adjustment expenses recoveries	(144,369)	(112,301)
Net loss and loss adjustment expenses	$322,121	$460,917

b) Credit risk

The Company evaluates the financial condition of its reinsurers and monitors concentration of credit risk arising from its exposure to individual reinsurers. Reinsurance programs are generally placed with reinsurers whose rating, as of the time of placement, is A- or better as rated by AM Best Company or the equivalent with other rating agencies. Exposure to a single reinsurer is also controlled with restrictions dependent on rating. As of December 31, 2019 and 2018, 99.0% of reinsurance recoverables (which includes loss reserves recoverable and recoverables on paid losses) were from reinsurers rated A- or better and included $217,490 and $254,359, respectively, of IBNR recoverable.

Reinsurance recoverables by reinsurer categories are as follows:

	December 31, 2019		December 31, 2018	
	Reinsurance Recoverable	% of Total	Reinsurance Recoverable	% of Total
Top 10 Reinsurers	$529,482	83.6%	$497,333	79.2%
Other reinsurers balances > $1 million	102,384	16.2%	124,717	19.9%
Other reinsurers balances < $1 million	1,200	0.2%	5,596	0.9%
Total	$633,066	100.0%	$627,646	100.0%

Reserves for reinsurance recoverables deemed uncollectible are based on an estimate of the amount of the reinsurance recoverable balance that will ultimately not be recovered due to reinsurer insolvency, contractual dispute or some other reason. The valuation of the reserve for uncollectible reinsurance includes a detailed review of the credit ratings of the reinsurance recoverable by reinsurer on a continuous basis with any resulting adjustments recorded in earnings in the period that collection issues are identified. As of December 31, 2019 and 2018, the reserves for reinsurance recoverables deemed uncollectible was $200 in both years.

8. Share capital

(a) Authorized and issued

The Company's authorized share capital is 2,000,000 ordinary shares with par value of $1.00 each. Issued and outstanding share capital as of December 31, 2019 and 2018 is 1,000,000 ordinary shares with a par value of $1.00 each.

(b) Dividends

On December 31, 2018, the Company distributed Ironshore Holdings (U.S.) Inc. and its principal subsidiaries to Liberty Mutual Insurance Company by issuing a dividend. Refer to Note 3 for additional information regarding discontinued operations. No dividends were declared during the year ended December 31, 2019.

9. Taxation

(a) Bermuda

Under current Bermuda law, LSM Bermuda is exempt from all Bermuda income, withholding and capital gains taxes. At the present time, no such taxes are levied in Bermuda. In the event that such taxes are imposed, LSM Bermuda would be exempt until March 2035 pursuant to the Bermuda Exempted Undertakings Tax Protection Act 1966, and Amended Act of 1987.

(b) United States

Effective May 2, 2017, LSM Bermuda made an irrevocable election to be treated as a U.S. domestic insurance company for U.S. Federal tax purposes under section 953(d) of the U.S. Internal Revenue Code and is, therefore, subject to income taxation in the U.S. LSM Bermuda is included in the consolidated U.S. federal income tax return of Liberty Mutual Holding Company, Inc. & Subsidiaries. As part of the consolidated group, LSM Bermuda is subject to the Liberty Mutual Group tax sharing agreement whereby the Company is allocated its share of the consolidated tax liability based upon the tax it would have owed had it filed separately. Tax benefits are allocated to each company for its portion of net operating losses and tax credit carry forwards in the year they are used by the consolidated group. Intercompany tax balances are settled quarterly.

The components of U.S. Federal, state and foreign income tax expense (benefit) from continuing operations are

	2019	2018
Current tax (benefit) expense:		
U.S. Federal	$7,897	$(14,522)
U.S. State & local	(8,052)	15,665
Foreign	1,103	(1,182)
Total current tax	948	(39)
Deferred tax expense:		
U.S. Federal	19,613	12,456
Total U.S. Federal Income tax expense	$20,561	$12,417

A reconciliation of the income tax expense attributable to continuing operations computed at U.S. Federal statutory tax rates to the income tax expense as included in the consolidated statements of income is as follows:

Years ended December 31,	**2019**	**%**	**2018**	**%**
Expected U.S. Federal income tax (benefit)	$17,864	21.0%	$(2,902)	21.0%
Tax effect of:				
Non-deductible expenses	-	0.0%	802	(5.8%)
Loss reserve adjustment	-	0.0%	(4,015)	29.1%
Reduction of U.S. corporate income tax rate	-	0.0%	15,909	(115.1%)
Revision to estimate	2,575	3.0%	2,562	(18.5%)
Others	122	0.2%	61	(0.5%)
Income tax expense (benefit)	$20,561	24.2%	$12,417	(89.9%)

The significant components of the deferred income tax assets and liabilities at December 31, 2019 and 2018 are summarized as follows:

	2019	**2018**
Deferred tax assets:		
Unpaid claims discount	$11,713	$9,591
Unearned premium reserves	19,407	17,603
Net operating losses	120,912	128,936
Employee benefits	230	606
Credits	238	215
Other accrued expenses	1,231	1,598
Intangibles	94,538	105,720
Net unrealized losses	-	8,050
Depreciation/amortization	104	87
Other	-	59
Total deferred tax assets	248,373	272,465
Valuation allowance	-	-
Deferred tax assets net of valuation allowance	248,373	272,465
Deferred tax liabilities:		
Deferred acquisition costs	(28,616)	(25,213)
Net unrealized gains	(7,068)	-
Other	(141)	(635)
Total deferred tax liabilities	(35,825)	(25,848)
Net deferred tax asset	$212,548	$246,617

ASC Topic 740, *Income Taxes*, requires a valuation allowance to reduce the deferred tax assets reported if, based on the weight of evidence, it is more likely than not that some portion or all of the deferred tax assets will not be realized. For the years ended December 31, 2019 and 2018, management determined no valuation allowance as necessary.

As of December 31, 2019, LSM Bermuda has U.S. Federal net operating loss carry-forwards of $575,772 and foreign tax credit carry-forwards of $238. The net operating loss will expire in year 2037 and are only available to offset future income of LSM Bermuda. The foreign tax credit carry-forwards will begin to expire, if not utilized, in 2029.

LSM Bermuda recognizes interest and penalties related to unrecognized tax benefits in U.S. Federal income tax expense. For the years ended December 31, 2019 and 2018, the Company did not recognize any interest and penalties.

LSM Bermuda is open for U.S. Federal income tax examinations for years beginning 2017 but does not expect any material changes to unrecognized tax benefits within 12 months of the reporting date.

10. Commitments and contingencies

(a) Concentration of credit risk

The creditworthiness of a counterparty is evaluated by the Company, taking into account credit ratings assigned by nationally-recognized rating agencies. The credit approval process involves an assessment of factors, including, among others, the counterparty, country and industry credit exposure limits. The areas where significant concentrations of credit risk may exist includes reinsurance recoverables (see Note 7), investments and cash and cash equivalent balances.

The Company underwrites a significant amount of its business through brokers. Credit risk exists should any of these brokers be unable to fulfill their contractual obligations with respect to the payments of insurance and reinsurance balances owed to the Company.

During the years ended December 31, 2019 and 2018, the following brokers were the top two producers by gross written premium:

Broker	% of Gross Premiums Written December 31, 2019	% of Gross Premiums Written December 31, 2018
Aon Benfield	25.8%	2.7%
Willis group	9.0%	3.8%

The Company's investment portfolio is managed in accordance with guidelines designed to ensure specific investment strategies are met. These guidelines include standards of diversification that limit the allowable holdings of any single issue. There were no investments in any entity in excess of 10% of the Company's shareholder's equity as of December 31, 2019 and 2018, other than investments issued or guaranteed by the U.S. government, its agencies or U.S. Government-Sponsored Enterprises.

The Company's cash and cash equivalents are on deposit with various financial institutions. Credit risk arises from the failure of the counterparty to perform according to the terms of a contract. The Company's deposits are with established banks to minimize this risk and they are located in Bermuda, U.S., Canada and Singapore.

(b) Operating leases

The Company has entered into various operating lease agreements to lease office space and fixtures and fittings that expire up to 2025. During the years ended 2019 and 2018, total rent expenses of $816 and $1,049, respectively, were recorded in general and administrative expenses. The future minimum lease payments in the aggregate as of December 31, 2019 are as follows:

	December 31, 2019
2020	$1,190
2021	1,249
2022	1,249
2023	1,249
2024	1,249
Later	1,249
Total minimum future lease commitments	$7,435

(c) Letters of credit

On November 7, 2016, the Company entered into a £125,000 letter of credit facility with ING Bank N.V. for the purpose of providing FAL. The letter of credit facility is guaranteed by Ironshore and contains covenants including minimum capital requirements of the borrower and guarantor. As of December 31, 2017, the Company was in compliance with all covenants and restrictions. The letter of credit facility was terminated on May 8, 2018.

On December 1, 2009, the Company entered into a standby letter of credit facility provided by Citibank Europe plc. Refer to Note 4 for additional disclosure.

(d) Litigation

The Company is subject to litigation and arbitration in the normal course of its business. These lawsuits and arbitrations principally involve claims on policies of insurance and contracts of reinsurance and are typical for the Company and for the property and casualty insurance and reinsurance industry in general. Such legal proceedings are considered in connection with the Company's loss and loss expense reserves. In addition to litigation relating to insurance and reinsurance claims, the Company and its subsidiaries are subject to lawsuits in the normal course of business. The status of any such legal actions is actively monitored by management. If management believed, based on available information, that an adverse outcome upon resolution of a given legal action was probable and the amount of that adverse outcome was reasonable to estimate, a loss would be recognized and a related liability recorded. No such liabilities were recorded by the Company as of December 31, 2019 and 2018.

(e) Other Investments

As of December 31, 2019 and 2018, the Company had an unfunded commitment to invest $55,721 and $60,887, respectively, into closed-end limited partnership funds.

11. Related party transactions

During the years ended December 31, 2019 and 2018, the Company paid expenses of $21,543 and $48,680, respectively, on behalf of Ironshore. The Company also purchases operating services and support at cost from Ironshore. During the years ended December 31, 2019 and 2018, the Company incurred expenses of $1,125 and $9,191, respectively, related to these services. As of December 31, 2019 and 2018, the Company has an outstanding receivable of $22,309 and $22,479, respectively, included under amounts receivable from related parties. These amounts are unsecured, non-interest bearing and payable upon demand.

The Company purchases operating services and support at cost plus a mark-up depending on the type of service from Ironshore Services Inc., an affiliated company. During the years ended December 31, 2019 and 2018, the Company incurred expenses of $10 and $3,638, respectively, related to these services. As of December 31, 2019 and 2018, the Company has an outstanding payable to Ironshore Services Inc. of $10 and $1,206, respectively, included under amounts payable to related parties. These amounts are unsecured, non-interest bearing and payable upon demand.

Effective January 1, 2009, LSM Bermuda entered into a reinsurance agreement with LCC2, an affiliated company. This agreement provides that LSM Bermuda assumes a 75% quota share of all insurance and reinsurance risks earned by LCC2. In addition to the insurance and reinsurance risks, LSM Bermuda assumes 75% of LCC2's foreign exchange gains or losses, investment returns and operating expenses. The consolidated balance sheets and statements of operations include the following amounts related to the quota share agreement with LCC2:

	2019	2018
Balance Sheet		
Premiums receivable	$465,580	$816,742
Deferred acquisition cost	37,522	77,707
Reserve for losses and loss adjustment costs	175,824	278,747
Unearned premiums	77,184	218,641
Other liabilities	278,885	432,681
Other assets	-	4,272

	2019	2018
Income Statement		
Net premiums earned	$218,052	$362,740
Losses and loss adjustment expenses	116,123	198,983
Acquisition expenses	64,088	105,458
Net investment income	7,347	6,542
Net realized and unrealized (losses) on investments	2,547	(938)
General and administrative expenses	15,166	49,950

Effective April 8, 2011, LSM Bermuda entered into a reinsurance agreement with Ironshore Europe DAC ("IEDAC"), an affiliated company. This agreement provided that LSM Bermuda assumed an 80% quota share of all insurance and reinsurance risks earned by IEDAC.

On August 20, 2019, Ironshore Inc. closed the sale of IEDAC to Hamilton Insurance Group, followed by the rebranding of IEDAC to Hamilton Insurance Designated Activity Company ("HIDAC"). As part of the sale agreement, the Company entered into a retroactive reinsurance agreement, where LSM Bermuda assumed additional 20% quota share of all insurance and reinsurance risk earned by HIDAC till the date of the agreement. This transaction brought the existing reinsurance agreement with HIDAC to 100% quota share of all insurance and reinsurance risk earned by HIDAC up to the date of the sale of HIDAC to Hamilton Insurance Group. Hamilton Insurance Group are responsible for all HIDAC risks written from the date of the sale.

The consolidated balance sheets and statements of operations include the following amounts related to the quota share agreement with HIDAC:

	2019	2018
Balance Sheet		
Premiums receivable	$200,720	$188,312
Deferred acquisition cost	31,200	45,549
Reserve for losses and loss adjustment costs	490,425	489,586
Unearned premiums	104,041	152,898
Other liabilities	103,313	52,716

Income Statement	2019	2018
Net premiums earned	$210,917	$236,807
Losses and loss adjustment expenses	103,726	190,618
Acquisition expenses	64,336	70,800

On April 1, 2009, Liberty Specialty Markets Agency Limited ("LSM Agency"), an affiliated company, entered into a Program Manager Agreement ("PMA") with LSM Bermuda. LSM Agency acts as an agent in the offering, issuance and administration of insurance policies written on a subscription basis by LSM Bermuda in Bermuda and other jurisdictions. Under the terms of the PMA, administrative fees for the services provided by the LSM Agency to LSM Bermuda were the lower of 10% of the gross premiums written and 50% of general and administrative costs incurred by the Agency excluding bonus and equity based compensation expenses for the years ended December 31, 2019 and 2018. During the years ended December 31, 2019 and 2018, LSM Bermuda incurred administrative fees under the terms of the PMA of $15,526 and $7,116, respectively.

LSM Agency has an existing Claims Service Agreement ("CSA") with LSM Bermuda. Under the CSA, the LSM Agency provides claims management and consulting services with respect to the policies issued pursuant to the CSA. LSM Agency is reimbursed for compensation, benefits and out of pocket expenses it incurs in the performance of its obligations under the CSA. During the years ended December 31, 2019 and 2018, LSM Bermuda incurred claim services fees under the terms of the CSA of $738 and $1,026 respectively.

During the years ended December 31, 2019 and 2018, LSM Bermuda paid operating costs of $19,791 and $7,358, respectively, on behalf of LSM Agency. As of December 31, 2019 and 2018, the Company has outstanding receivable of $15,093 and $1,232, respectively, from LSM Agency included in the amounts receivable from related parties. These amounts are unsecured, non-interest bearing and payable upon demand.

As of December 31, 2019 and 2018, the Company has an outstanding balance receivable from LMIC for reinsurance arrangements of $95,267 and $43,358, respectively, included under reinsurance recoverable on unpaid losses. As of December 31, 2019 and 2018, the Company has an outstanding balance payable to LMIC for reinsurance arrangements of $39,153 and $44,509, respectively, included under insurance and reinsurance balances payable. These amounts are unsecured, non-interest bearing and payable upon demand.

12. Statutory financial data

Under the Insurance Act 1978, amendments thereto and Related Regulations of Bermuda (the "Insurance Act"), the Company is required to prepare statutory financial statements and to file with the BMA a statutory financial return. As a Class 4 insurer, LSM Bermuda must maintain capital at the greater of a minimum solvency margin ("MSM") and its Enhanced Capital Requirement ("ECR"), which is established by reference to the Bermuda Solvency Capital Requirement ("BSCR") model. The BSCR model is a risk-based capital model that provides a method for determining an insurer's capital requirements (statutory capital and surplus) by taking into account the risk characteristics of different aspects of the insurer's business. The Insurance Act also requires LSM Bermuda to maintain certain measures of solvency and liquidity. The MSM that must be maintained by a Class 4 insurer with respect to its general business is the greater of (i) $100,000, or (ii) 50% of net premiums written (iii) 15% of net reserve for losses and loss adjustment expenses or (iv) 25% of ECR.

As of December 31, 2019 and 2018, the Company was required to maintain a minimum statutory capital and surplus of $249,354 and $355,325, respectively. As of December 31, 2019 and 2018, LSM Bermuda had statutory capital and surplus of $1,843,167 and $1,708,735, respectively and a statutory net income (loss) of $64,393 and $6,198, respectively for the years then ended.

Under the Insurance Act, LSM Bermuda is restricted as to the payment of dividends and/or distributions for amounts greater than 25% of the prior year's statutory capital and surplus. At December 31, 2019, LSM Bermuda can pay dividends of $427,184 without prior approval under Bermuda law.

13. Subsequent events

On September 30, 2019, following a strategic decision to close Ironshore Insurance Ltd., Canada branch ("IIL Canada branch"), the Company transferred IIL Canada branch insurance portfolio and related assets and liabilities to Liberty Mutual Insurance Company, Canada branch ("LMIC Canada branch"). On January 28, 2020, formal approval was received from the Canadian Regulator, The Office of the Superintendent of Financial Institutions ("OSFI"), to close the IIL Canada branch and repatriate remaining assets to LSM Bermuda.

On November 1, 2019, following a strategic decision to close Liberty Specialty Markets Bermuda, Singapore branch ("LSMB Singapore branch"), the Company transferred LSMB Singapore branch insurance portfolio and related assets and liabilities to Liberty Specialty Markets Singapore PTE Ltd. ("LSMS PTE"). The Branch subsequently de-registered as a licensed insurer with the Monetary Authority of Singapore ("MAS") on December 30, 2019 and on February 24, 2020 filed the Notification of Foreign Company of Cessation of Business with the Accounting and Corporate Regulatory Authority in Singapore (ACRA).

There are many uncertainties regarding the current coronavirus ("COVID-19") pandemic, and the Company is closely monitoring the impact of the pandemic on all aspects of its business, including how it will impact its customers, employees, business partners and distribution channels. While the pandemic did not affect the Company's financial results and business operations for the year ending December 31, 2019, we are unable to predict the impact that COVID-19 will have on its financial position and operating results due to numerous uncertainties. The Company expects to continue to assess the evolving impact of the COVID-19 pandemic including the Coronavirus Aid, Relief, and Economic Security Act ("CARES Act") that was enacted on March 27, 2020 in the United States.

Subsequent events have been evaluated through April 30, 2019, the date on which the financial statements were available to be issued.